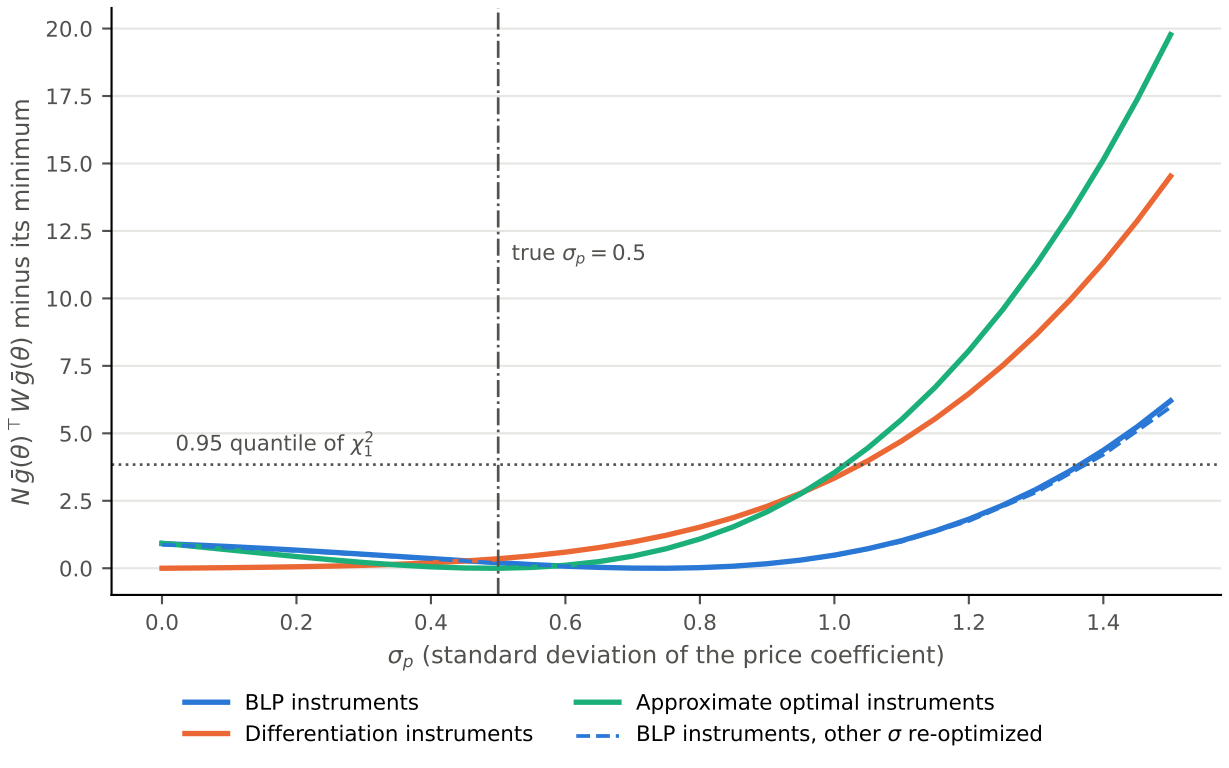
20.0
17.5
15.0
12.5
10.0
7.5
5.0
2.5
0.0
$N\bar{g}(\theta)^\top W\bar{g}(\theta)$ minus its minimum
true $\sigma_p = 0.5$
0.95 quantile of χ^2_1
0.0
0.2
0.4
0.6
0.8
1.0
1.2
1.4
σ_p (standard deviation of the price coefficient)
BLP instruments
Differentiation instruments
Approximate optimal instruments
BLP instruments, other σ re-optimized